

INTRODUCTION TO COMMERCE

Concept definitions:

1. **Goods:** this refers to raw materials as well as tangible, manufactured products such as toys, shirts, cement, cars, television sets, books, etc.;
2. **Service:** this refers to work that people do for others to earn their living e.g. hairdressing, tailoring, banking work, civil service work, etc.;
3. **Trade:** this refers to the activity of buying and selling and exchanging of goods and services;
4. **Trade by barter:** it is an ancient system of buying and selling when money was not in use. It means the exchange of goods for goods and services for services.

Meaning of Commerce

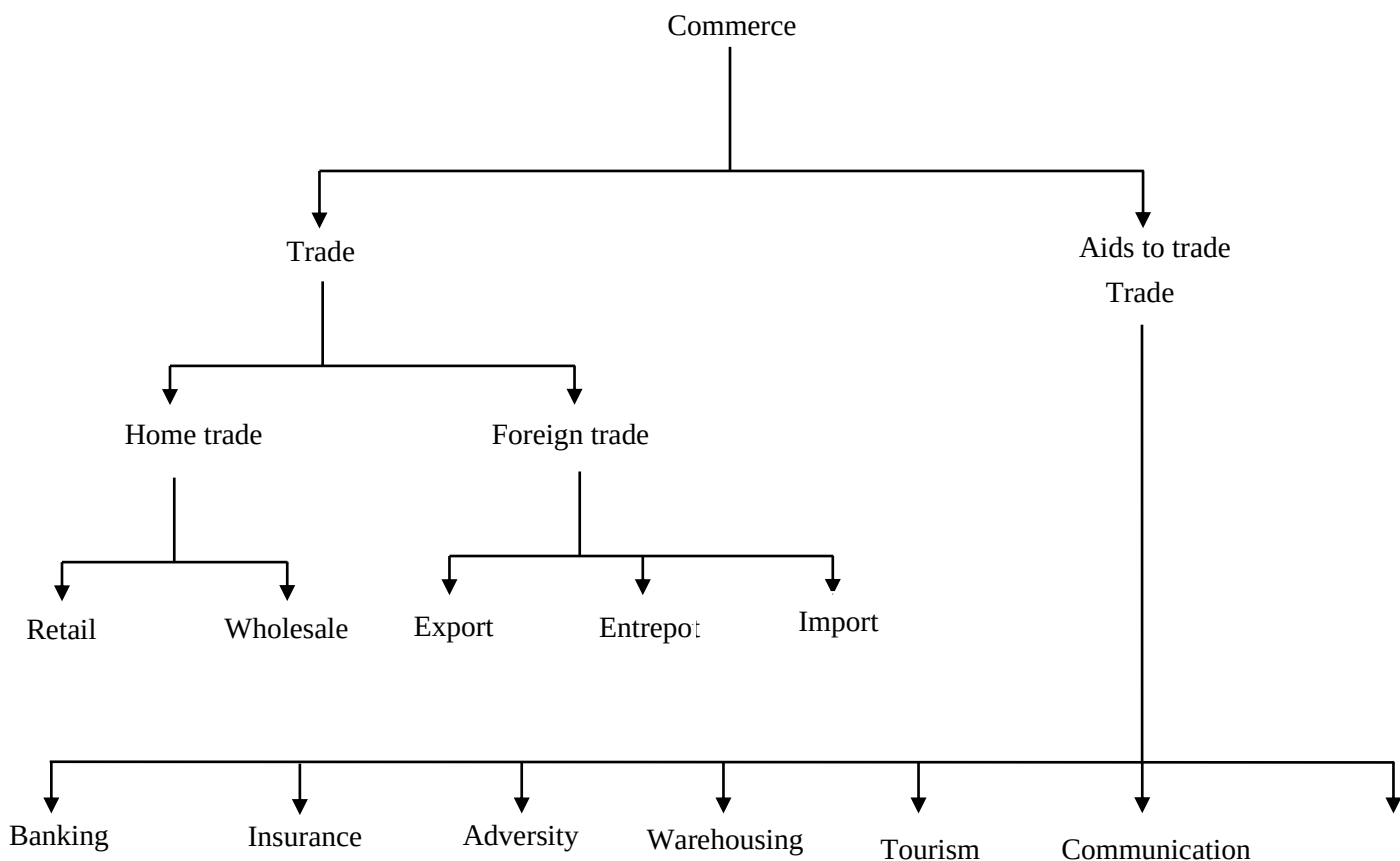
Commerce can be defined as the process of buying, selling and distribution of goods and services through the assistance of various activities such as communication, warehousing, insurance, advertising and banking.

Commerce can also be defined as the study of how man buys, sells and distribute goods and services. It is trade and aids to trade.

Scope of Commerce

The scope of commerce covers the entire area of commercial activities which ensure the distribution and exchange of goods and services for the satisfaction of people e.g. warehousing, banking, communication, advertising, transport, tourism and insurance. Commerce is therefore divided into trade and aids to trade.

Branches of Commerce



1. **Trade**: It is the process which involves buying and selling of goods and services by wholesalers, retailers, importers and exporters. It is divided into two (2) i.e. home trade and foreign trade;
2. **Aids to trade**: These are activities which assist or facilitates trade. They are referred to as ancillaries to trade. They are as follows: -
 - a. **Advertising**: it is the process of creating awareness about the existence of a product in order to stimulate demand;
 - b. **Communication**: effective trading cannot take place without communication particularly between the seller and the buyer. It is the means by which people are linked together to transact business;
 - c. **Warehousing**: it is concerned with all the activities that help in storing goods until they are demanded for in order to ensure uninterrupted and regular supply;
 - d. **Transportation**: this helps in carrying goods and people from one place to another. It also facilitates the movement of raw materials and finished goods to where they are wanted.;
 - e. **Insurance**: it is needed to manage various risk associated with business including trade;
 - f. **Banking**: it ensures the acceptance of deposits from customers and making funds available to business men for business transactions.;
 - g. **Tourism**: it is one of the aids to trade which affords tourists the opportunity of getting involved in business activities when they are visiting another country.

Functions of Commerce

Commerce serves the following functions: -

1. **Mass production of goods and services**: Commerce facilitates mass production so that people all over the world can enjoy goods and services produced both within and outside their countries;
2. **Raising of capital**: It facilitates the raising of capital for individual needs and investment through the services of banks and other financial institutions;
3. **Employment opportunities**: It offers employment opportunities to a large number of people such as traders, bankers and insurance brokers;
4. **Transport**: It assists in moving people, raw materials and finished goods from production points to consumption points through transport;
5. **Warehousing functions**: It facilitates the storage of goods until they are needed, thus bridging the gap between demand and supply in the market;
6. **Unity among nations**: It fosters unity among nations by making them become interdependent as they engage in trading activities;
7. **Improvement in standard of living**: The availability of varieties of goods and services leads to improvement in standard of living and quality of life of people;
8. **Risk bearing**: The availability of insurance companies encourages entrepreneurs to venture into various business activities;
9. **Exchange of goods and services**: Commerce facilitates the exchange of goods and services through transportation (road, rail, sea, air) and telecommunication services;
10. **Creation of public awareness**: It makes the public aware of the availability of goods and services through advertising;
11. **Linkage of buyers to sellers**: Commerce, through communication, links buyers and sellers together to do business without physical contacts; and,
12. **Creation of wealth for nations**: Commerce helps to create wealth for nations, as duties are charged on goods and services either exported or imported.

Characteristics of Commerce

The following are some characteristics or features of commerce: -

1. **Economic activity**: Commerce is an economic activity. A trader buys and sells goods to earn profit and wealth. It is expressed in monetary terms;
2. **Profit**: The motive of Commerce is to earn profit. Gifting goods to family and friends is not commerce. Profits drive the engine of commerce;
3. **Component of business**: Commerce is a component of business which deals with goods produced by industries. Industries produce and Commerce disposes the goods;
4. **Utility**: Commerce creates place and time utilities to satisfy consumers' needs; and,
5. **Marketing**: Commerce involves marketing. It involves the exchange, distribution and promotion of products and is done on regular basis. Marketing is done to create goods and satisfy the customers.

Importance of Commerce

1. Enabling a country to have economic transaction with the rest of the world;
2. Enabling specialisation and division of labour to take place within the economy;
3. Generating employment and income for people.